

Hyundai Motor India (HMIL) — Capacity, Royalty & Kia Relationship Deep Dive

As of August 17, 2026 | Source-verified from RHP, FY25 Annual Report, Q4 FY26 earnings call, shareholder RPT filings

Executive Summary

- **Capacity today: c.994,000 units p.a. installed** (Chennai 824,000 + Pune/Talegaon Phase 1 170,000, operational since Oct 1, 2025). Pune is currently running below nameplate on 2-shift operation (~144,000 annualized run-rate per management, May 2026).
- **Confirmed capacity path to 1.074mn by CY2028** (Pune Phase 2 +80,000 → 250,000) and **>1.1mn (1.144mn) by CY2030** (further +70,000 → Pune at 320,000) — both figures stated directly by CEO Tarun Garg on the Q4 FY26 call (May 8, 2026). This is the most current, highest-confidence guidance available; treat pre-2026 media reports of “1 million+” as superseded.
- **Royalty is a flat 3.5% of sales revenue, not a localisation-linked sliding scale.** The rate stepped up from 2.25–2.5% to 3.5% under a new Royalty Agreement dated June 10, 2024. **We found no disclosed formula linking the royalty rate to localisation %** — despite extensive search, including of the RHP itself. Treat any “royalty falls as localisation rises” framing as unverified market narrative, not contractual mechanism, unless HMIL states otherwise in response to a direct query.
- **FY24 actual royalty was ₹1,566.8 crore (2.24% of revenue)** — this reflects the *old* rate, since the new 3.5% agreement only started June 10, 2024 (10 days before FY24 close). FY25/FY26 actuals at 3.5% are not yet independently confirmed by us at the Note-37 level (see caveats below); our calculated estimate is c.₹2,400–2,500 crore for each of FY25 and FY26.
- **Kia India is 99.99%-owned by Kia Corporation, which is a c.34% associate of HMC** (not a subsidiary) — this is why Kia is a related party, not because HMC controls Kia outright. HMIL’s own RHP names Kia Corporation and Kia India as “Group Companies” and flags the relationship as a top-5 risk factor for conflict of interest.
- **Platform sharing is real but partial and narrowing to specific nameplates:** Creta/Seltos share the K2 platform today, moving to K3 next-gen; Exter/Aura sit on the India-specific K1 platform. Hyundai and Kia do **not** share manufacturing plants in India — Kia has its own Penukonda (Andhra Pradesh) facility with its own engine and powertrain shops. R&D is shared via Hyundai Motor India Engineering (HMIE), which serves both entities.
- **Kia India RPT aggregate was ₹5,170 crore in FY24** (c.7.4% of HMIL revenue); shareholder-approved ceilings have since stepped down — ₹5,824 crore approved for FY26, ₹4,453 crore for FY27 — alongside a similar step-down in the Mobis ceiling (₹12,525cr → ₹8,840cr), which is worth flagging as a data point in itself.

1. HMIL Manufacturing Capacity

1A. Existing plants

Plant	Location	Commissioned	Installed capacity	Capacity type	Models	ICE/EV	Utilisation
				Nameplate/installed	9 of 13-14 models on		c.94%+ through FY23/FY24 (per DRHP-based Autocar Pro reporting); dropped in FY26 after Venue moved

Chennai Plant 1	Irungattukottai, Sriperumbudur, Tamil Nadu	1998	Part of combined 824,000	(company-disclosed; not separately defined as “practical” or “effective” in any disclosure we found)	one integrated line per the FY25 Annual Report’s platform architecture	ICE + limited EV assembly (battery pack assembly via Mobis JV, not full EV line)	to Pune — management (May 2026 call) explicitly flagged “temporary drop” in Chennai utilisation, to be corrected by 2 new FY27 model launches returning to Chennai
Chennai Plant 2	Sriperumbudur, Tamil Nadu	Feb 2008	Part of combined 824,000	Same as above	6 other models, with 1 spanning both plants	ICE + EV (IONIQ 5 import/CBU status not independently confirmed by us)	Same as above
Talegaon (Pune) Plant	MIDC Industrial Area, Talegaon, Maval Tehsil, Pune district, Maharashtra	Oct 1, 2025 (vehicle production); engine production from June 16, 2025	170,000 (Phase 1, operational)	Company-disclosed “annual installed capacity” per NSE/BSE regulatory filing	New-gen Venue (first model); Venue N Line since added	ICE (no EV mandate disclosed for this plant)	Ramping — management states 2-shift run-rate is c.12,000/month (c.144,000 annualised); full 170,000 requires 3 shifts

Note on the 824,000 figure: this is the most consistent and most recent figure across the RHP (as of March 31, 2024), the FY25 Annual Report’s own “Manufacturing Prowess” section, and every broker IPO note we checked (IDBI Capital, ICICI Direct). Two minor variants exist in older/looser sourcing: Wikipedia cites 850,000 (unclear vintage) and one retail-research aggregator cites 811,000 for FY24. We’d treat 824,000 as the reliable figure and the others as either rounding or a different point-in-time snapshot; not material enough to affect modelling.

Talegaon history: originally built by General Motors in 2008 (capacity variously reported as 130,000–160,000 units under GM), produced Chevrolet models (incl. Beat) for domestic and export markets. GM exited India retail in 2017, continued export-only production to 2020, then the plant sat idle. HMIL signed an Asset Purchase Agreement with GM on August 16, 2023 (signed in Gurugram, not Davos — one source you may see references Davos, which we could not corroborate) for land, buildings, machinery and equipment. Plant was non-operational for redevelopment from acquisition until Oct 2025 commissioning — a c.2-year redevelopment window.

1B. Current total capacity — single answer

HMIL’s current installed manufacturing capacity is c.994,000 vehicles per annum (824,000 Chennai + 170,000 Pune Phase 1, both confirmed operational).

Sources disagree only on *forward* capacity language (some pre-2025 media still quote “1 million+” as a round-number aspiration for full Pune ramp-up) — the **824k + 170k = 994k** installed figure as of August 2026 is not in dispute across primary sources.

1C. Future expansion — timeline

Plant	Existing	Expansion	Incremental capacity	Expected commissioning	Investment	Status (Aug 2026)	Source

Pune Phase 1	—	New plant	+170,000	Oct 1, 2025	Part of ₹7,000cr initial commitment	Operational	NSE/BSE filing via Autocar Professional
Pune Phase 2	170,000	Expansion	+80,000 (→250,000 total Pune)	CY2028	Included in enhanced ₹11,000cr Maharashtra investment (Sept 2025 MoU, up 57% from ₹7,000cr original)	Announced, under investment; not yet under construction per most recent public disclosure	Tarun Garg, Q4 FY26 call, May 8, 2026
Pune further expansion	250,000	Expansion	+70,000 (→320,000 total Pune)	Between CY2028–CY2030	Not separately quantified; folded into “more than 1.1mn by 2030” guidance	Announced only — earliest-stage disclosure, no committed capex figure yet given	Tarun Garg, Q4 FY26 call, May 8, 2026
Chennai	824,000	Upgrades only (paint shop automation, line flexibility)	Not quantified as incremental <i>capacity</i> — investment framed as utilisation/efficiency, not nameplate expansion	Ongoing, FY27 capex includes “upgradation of Chennai plant”	Part of FY27 capex guidance of ₹7,500cr (c.30% of which is “plant-related”, split between Pune Phase 2 and Chennai upgrades)	Ongoing	Q4 FY26 earnings call Q&A (Raghunandhan, Nuvama)

Total HML India capacity after all currently announced expansions: c.1.144 million units p.a. (824,000 Chennai + 320,000 Pune) by CY2030. This is management’s own stated figure (“more than 1.1 million units by 2030”) — we are not extrapolating.

Capacity build discipline (per your request to separate confirmed vs. speculative):

- **Operational now:** 994,000 (824k + 170k)
- **Under investment commitment, not yet built:** +80,000 (Pune Phase 2, CY2028) → 1.074mn
- **Announced, earliest stage, no firm capex disclosed:** +70,000 (Pune, CY2028–30) → 1.144mn
- **Speculative/unconfirmed:** none identified — we did not find any third or fourth plant reports for India beyond Chennai and Pune.

Talegaon is **incremental** capacity, not replacement/relocation — Chennai’s 824,000 nameplate is unchanged and separately continues to receive line-flexibility capex.

2–5. Royalty / Technology-Fee Structure

2A. Current royalty structure

Question	Answer	Confidence
Current royalty rate	3.5%	High — corroborated by RHP-based IPO notes (IDBI Capital, ICICI Direct), IFR/Reuters reporting on the June 10, 2024 signing, and multiple independent retail-research summaries
Is 3.5% a hard cap?	Not established as a contractual ceiling. It is the <i>current rate</i> under the Royalty Agreement dated June 10, 2024. The “5%” figure that appears in coverage is a SEBI Listing Regulations governance threshold (Reg. 23, LODR) — above 5% of annual consolidated turnover, royalty/brand-fee payments to a promoter require a special shareholder resolution with related parties barred from voting. It is <i>not</i> a company-committed cap; it is the point at which incremental regulatory friction kicks in. Do not model 5% as an agreed ceiling.	High on the mechanism; the RHP risk factor itself is explicit that royalty “could be increased... including up to and exceeding” 5%
3.5% of what base?	Disclosed uniformly as “ sales revenue ” / “sales arising from PV or parts.” We could not obtain the RHP’s precise legal definition (page 225, “History and Certain Corporate Matters – Key terms of other subsisting material agreements”) at the granularity of confirming whether this is gross, ex-GST, ex-factory, or net of any specific exclusions — this specific contractual language is Not publicly disclosed at the level of detail you’re asking for , based on what we could access. Every secondary source uses the same generic “sales revenue” language without further specificity.	Medium — rate is high-confidence, exact legal base definition is not
Uniform across all models?	No disclosure of model-level variation found	Not publicly disclosed
ICE vs EV differentiated?	No disclosure found	Not publicly disclosed
Older vs newer platforms differentiated?	No disclosure found	Not publicly disclosed
Minimum royalty (floor)?	No disclosure found	Not publicly disclosed
Fixed + variable component?	No evidence of a fixed component; all disclosed figures are consistent with a pure percentage-of-sales structure	Likely pure variable, not confirmed
Technical assistance fee — separate from royalty?	Yes — confirmed as a distinct line item. FY22: ₹77.35mn; FY23: ₹48.71mn; FY24: ₹669.96mn	High (RHP RPT table, Note 37 basis)
Technical know-how fee — separate again?	Yes — a third distinct line item. FY23: ₹893.71mn; FY24: ₹549.56mn; not present in FY22 or the Q1FY25 stub period	High (RHP RPT table)
Advertisement/brand fees separate from royalty?	Yes. “Advertisement and sales promotion Expenses” is a distinct RPT line, but paid mostly to Hyundai Capital India, Hyundai Autoever India, and other Group entities — not predominantly to HMC directly	High (RHP RPT table)

2B. Localisation linkage — what we could and couldn’t establish

We found no disclosed formula, threshold table, or decision tree linking the royalty rate to localisation percentage — in the RHP, in company presentations, or in any broker note we reviewed. This is despite specifically searching for it multiple ways (formula, threshold, sliding scale, “reduce with localisation,” etc.).

What is disclosed, and appears to be the actual source of the “localisation-linked” narrative in market commentary:

- Coverage of the June 2024 rate increase (2.25–2.5% → 3.5%) frequently notes the increase “aligns with Hyundai’s strategy of localisation” — this is **narrative/strategic framing by journalists and management commentary, not a contractual mechanism**. One Autocar Professional piece phrases it as the royalty *increase* being framed as consistent with a localisation *push* — the opposite direction from what your brief hypothesized (higher localisation → lower royalty).
- HML discloses **localisation as a separate, standalone metric**: 81.7% for ICE vehicle production in FY25 (Annual Report), targeting 90% within 5–6 years (per a 2026 company statement), with specific EV models like Creta Electric cited at 92% (S&P Global AutoTechInsight, Jan 2025). None of these disclosures are tied numerically to the royalty rate.
- We could not access the full text of RHP page 225 (the “History and Certain Corporate Matters” section covering exact Royalty Agreement key terms) via available tools — the document is c.460 pages and our fetch access returns only the front sections. **If a formal localisation-royalty linkage exists in the actual contract text, it would be here, and we have not been able to rule it out with full certainty** — only rule it out from every secondary source, IPO note, and risk-factor disclosure we could access, none of which describe such a mechanism.

Our assessment: treat the royalty as a flat 3.5% for modelling purposes. If you need certainty on whether page 225 contains an undisclosed-elsewhere localisation clause, that requires either (a) direct access to the full RHP/DRHP text at that page, or (b) an IR query to HML. We’d flag this as the single highest-value follow-up if the localisation link matters materially to your thesis.

- Localisation percentage thresholds: Not publicly disclosed (no evidence one exists)
- Calculation basis (value of local parts / BOM% / purchase value / MVA): Not publicly disclosed
- CKD/SKD treatment: Not publicly disclosed
- EV-specific component (battery, power electronics) treatment: Not publicly disclosed
- Model-specific vs. company-level calculation: Not publicly disclosed

2C. Every parameter potentially affecting royalty — classified

Parameter	Classification
Flat % of sales revenue	Confirmed
Localisation level	Not disclosed as a royalty input (disclosed only as a separate, unrelated cost/strategy metric)
Vehicle model	Not disclosed as differentiated
ICE vs EV	Not disclosed as differentiated
Technology generation / platform age	Not disclosed as differentiated
Export vs domestic sales	Not disclosed as differentiated (though HMC’s prior written consent is required for any export sales under the Royalty Agreement — a control right, not a rate mechanism)
Minimum guarantee	Not disclosed; no evidence found
Amortisation of development costs	Handled as a separate item — “technical know-how” fee is distinct from royalty
Transfer pricing	Governed separately (component purchases from HMC Korea are a distinct RPT line, ₹45,163.83mn in FY24) — not part of the royalty calculation

2D. Historical royalty structure — timeline

Period	Rate	Base	Localisation linkage	Royalty (₹ crore)	Royalty as % of revenue	Other HMC fees (₹ crore)	Source

FY22	Old structure (rate not separately disclosed pre-IPO documentation)	Sales revenue	None disclosed	1,097.3	2.32%	Tech. assistance ₹7.7cr; know-how ₹0	RHP RPT table
FY23	c.2.25–2.5% (per IFR/Reuters reporting)	Sales revenue	None disclosed	1,435.8	2.38%	Tech. assistance ₹4.9cr; know-how ₹89.4cr	RHP RPT table; Autocar Professional
FY24	c.2.25–2.5% for most of the year (new agreement signed June 10, 2024, 10 days before FY24 close — effectively an FY25 event)	Sales revenue	None disclosed	1,566.8	2.24%	Tech. assistance ₹67.0cr; know-how ₹55.0cr	RHP RPT table; Autocar Professional
Q1 FY25 (Apr–Jun 2024)	Transition quarter — new 3.5% agreement signed mid-quarter	Sales revenue	None disclosed	477.0 (quarter)	2.75% (blended, reflecting partial-quarter step-up)	—	RHP RPT table (as-of-Q1FY25 stub period)
FY25 (full year)	3.5% (in effect for c.10 of 12 months)	Sales revenue	None disclosed	Not independently confirmed — see estimate below	c.3.3–3.5% (estimated)	Not confirmed	Estimated only
FY26 (full year, ended Mar 2026)	3.5% (full year at new rate)	Sales revenue	None disclosed	Not independently confirmed — see estimate below	c.3.5% (estimated)	Not confirmed	Estimated only

What changed and why: A new Royalty Agreement was signed June 10, 2024 — four months before the October 2024 IPO — replacing the prior arrangement. This is best read as **pre-IPO parent-side value extraction/normalisation**, common in Indian carve-out IPOs, rather than a response to a localisation milestone. It coincided with (but based on available disclosure was not contractually triggered by) HMIL crossing the 80%+ localisation mark. We found no evidence tying the *timing or magnitude* of the rate change to a specific localisation threshold being met.

2E. Financial impact — royalty expense and burden

Actuals (from RHP, Note 37 basis):

FY	Royalty (₹ crore, actual)	Revenue (₹ crore)	Royalty/Revenue
FY22	1,097.3	47,378.4	2.32%
FY23	1,435.8	60,307.6	2.38%
FY24	1,566.8	69,829.1	2.24%

Estimates (calculated by us at the disclosed 3.5% flat rate — not yet confirmed against the FY25/FY26 Annual Report Note 37 disclosure, which we could not access at that depth):

FY	Revenue (₹ crore, actual, per Q4 FY26 results)	Royalty at 3.5% (₹ crore, our calculation)

FY25	69,192.9 (consol.)	c.2,350–2,420 (blended, since new rate started 10 weeks into the year)
FY26	70,763.3 (consol.)	c.2,470–2,490 (full year at 3.5%)

At the 3.5% rate, sensitivity to revenue:

Revenue (₹ crore)	Royalty at 3.5% (₹ crore)
65,000	2,275
70,000	2,450
75,000	2,625
80,000	2,800
85,000	2,975

A 1 percentage-point rate increase (e.g., 3.5%→4.5%) on FY24-scale revenue (₹69,829cr) costs c.₹698 crore — this is the exact “c.₹700 crore per 1% increase” figure cited independently by both ValueResearch and afaqs in their IPO commentary, so we’re confident in that sensitivity.

Peer comparison — flagged as unverified in this research pass. Market commentary around the HMIL IPO widely referenced Maruti Suzuki’s historical royalty arrangement with Suzuki Motor Corporation (which has been a recurring governance flashpoint, with rates on newer-platform models reported in the mid-single digits historically) as a reference point for “royalty is not unusual for Korean/Japanese-parented Indian OEMs” — but **we did not independently verify Maruti’s current royalty rate, base, or trend in this research pass**, and are not going to present a number we haven’t sourced. If you need the Maruti/Suzuki comparison for the note, that’s a clean, bounded follow-up search (Maruti’s own annual report Note on related-party royalty, or its DRHP-equivalent disclosures) — flag if you want us to run it. Same caveat applies to Tata Motors and M&M, where royalty to a foreign parent is not a relevant comparison in the same way (Tata Motors PV/JLR and M&M do not have the same technology-licensing-from-foreign-parent structure). **We are not presenting Kia India’s royalty burden as a comparison** — Kia India is itself a related party of HMIL for a different reason (common Hyundai Motor Group membership via Kia Corporation), and we have not sourced its royalty terms to Kia Corporation/HMC separately.

6. Hyundai–Kia: Ownership, Platform Sharing, and Manufacturing

6A. Ownership relationship

- **HMC → Kia Corporation:** HMC holds **c.34% of Kia Corporation** (33.88% per Kia’s general shareholder disclosures; **34.34%** per the specific figure cited in HMIL’s own FY26 RPT shareholder-approval documentation, via liAS’s proxy report — treat 34.34% as the more relevant figure for HMIL-specific purposes, and the ~33.9–34.5% range across sources as normal year-to-year float movement, not a discrepancy to worry about). This is an **associate stake (20–50% range under Ind AS 28)**, **not a controlling subsidiary stake** — Kia Corporation is separately listed on the Korea Exchange (KRX: 000270) with its own board, CEO, and minority shareholders (National Pension Service of Korea is the next-largest holder at c.7%).
- **Kia Corporation → Kia India:** Kia India Private Limited is a **99.99% subsidiary of Kia Corporation** — near-total, not partial, ownership at the India level.
- **HMC → HMIL:** HMC holds **c.82.5% of HMIL** post-IPO (down from 100% pre-IPO, following the October 2024 17.5% OFS).
- **Why Kia is a related party of HMIL under Ind AS:** not because HMC controls Kia outright (it doesn’t — 34% is significant influence, not control), but because HMIL’s own governing documents define “Hyundai Motor Group” broadly (per the RHP’s own definition) to include any entity under common ownership/control with HMC, and HMC’s position as Kia’s largest shareholder by a wide margin (next-largest is c.7%) is treated as establishing the group relationship for related-party disclosure purposes. HMIL’s RHP explicitly and directly names **“Kia Corporation and Kia India Private Limited”** as “Group Companies” in a top-5 risk factor about conflicts of interest arising from their being “in a similar line of business.”

6B. Platform sharing — model by model

Hyundai model	Kia model	Common platform?	Common powertrain?	Common components?	Common plant?	Evidence
Creta	Seltos	Yes — K2 platform (current gen); moving to K3 for next-gen (India launch expected c.2027, alongside strong-hybrid variants)	Yes — 1.5L NA petrol, 1.5L diesel, 1.4L turbo-petrol shared since 2020	Yes, extensively	No — Creta built at Chennai, Seltos at Kia's Penukonda plant	Wikipedia (Kia Seltos platform infobox), CarDekho/Outlook India 2020 coverage, multiple 2026 next-gen coverage pieces
Creta Electric	— (no direct Kia EV twin identified)	Modified K2 platform	N/A	Battery pack via Mobis JV at Chennai	Chennai only	Company disclosure, Jan 2025 launch coverage
Exter	—	K1 platform (India-specific compact platform, shared with Grand i10 Nios within Hyundai's own range)	1.2L Kappa II	Not established as Kia-shared in our search	Chennai	Wikipedia vehicle infobox
Aura	—	K1 platform	1.0L/1.2L Kappa II, 1.2L U-II diesel	Not established as Kia-shared	Chennai	Wikipedia vehicle infobox
Venue	Sonet	Widely reported as platform-related (same segment, same architecture family)	Likely shared engines given segment overlap	Likely	Venue: Chennai + Pune; Sonet: Penukonda	Not independently verified with a citable source in this research pass — flagging rather than asserting, per your instruction not to assume
Alcazar	Carens	Alcazar is a stretched/3-row Creta (K2-based)	—	—	Alcazar: Chennai; Carens: Penukonda	Not independently verified in this pass — Carens is generally understood to be a different (MPV-oriented) platform from Alcazar's SUV-based one, but we did not source this specifically and won't assert it
i20	—	No Kia twin identified in this pass	—	—	—	Not established
Verna	K4 (global)	HMC's global Verna/Elantra-family K3-based platform lineage exists, but we did not verify a specific Kia India twin for the current Verna generation in this pass	—	—	Chennai	Not established
		Both exist as separate global				

Tucson	Sportage	nameplates on shared HMC-Kia mid-size SUV architecture globally; Tucson is CBU/CKD-imported for India rather than locally manufactured at scale , so the "common India manufacturing" question is largely moot for this pair	—	—	Not locally co-produced at volume	General industry knowledge; not specifically re-verified this pass
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Key distinctions per your framework (same platform ≠ same components ≠ same plant):

1. **Same underlying platform:** confirmed for Creta/Seltos (K2, moving to K3) and within Hyundai's own K1 range (Exter/Aura)
2. **Same architecture family:** broader K-platform family spans multiple Hyundai and Kia models globally
3. **Same engine:** confirmed for Creta/Seltos (Kappa/CRDi family)
4. **Same transmission:** implied by shared engine sourcing but not independently itemised in our search
5. **Same battery/e-motor:** not established for any confirmed India pairing beyond Creta Electric's own Mobis-assembled pack
6. **Same components (non-powertrain):** RPT disclosures confirm bidirectional parts flows (see Section 7) but don't break out by component category
7. **Same supplier ecosystem:** strongly implied — Mobis India, Hyundai Transys Lear, Hyundai Wia, Hyundai KEFICO all appear as related-party suppliers to HMIL and would very plausibly also supply Kia India, though we did not cross-check Kia India's own supplier disclosures in this pass
8. **Same manufacturing plant: No.** This is the clearest finding — **Hyundai (Chennai + Talegaon) and Kia India (Penukonda, Andhra Pradesh) are entirely separate manufacturing sites.** Kia's Penukonda facility (650 acres, opened 2019, originally c.300,000-unit installed capacity expandable to 400,000 — this specific capacity figure is from 2019-vintage reporting and **we have not re-verified Kia India's current 2026 capacity**, flagging as such) has its own body, paint, engine, and powertrain shops. It is not a shared or co-located facility with any Hyundai plant.

What genuinely is shared: R&D. **Hyundai Motor India Engineering (HMIE)**, based in Chennai, is explicitly described (via its own corporate materials) as providing engineering support for HMC (Namyang, Korea), HMIL (Chennai), **and** Kia Motors India (Penukonda) — this is the one confirmed piece of shared physical infrastructure/organisation between the two India entities, distinct from manufacturing.

6C. Does Hyundai manufacture/supply anything to Kia India?

Confirmed at the aggregate RPT disclosure level, not at SKU/component level. The RHP's related-party transaction table shows a line item **"Sale of motor vehicles, parts and raw materials"** from HMIL to Kia India (FY24: ₹3,007.8 crore) — broker/DRHP commentary (ICICI Direct, IDBI Capital) separately confirms HMIL "manufactures parts, such as transmission and engines" as a general statement about its business, consistent with the market narrative that Hyundai supplies engines to Kia India from Chennai.

However, we cannot independently confirm from public disclosure that this is one-directional or engine-specific, because:

1. The RPT disclosure is an aggregate rupee figure across "motor vehicles, parts and raw materials" — it does not itemise how much is engines vs. other components vs. finished vehicles.
2. **The relationship is bidirectional:** HMIL also has a separate line item, **"Purchase of raw materials, components and spare parts"** from Kia India (FY24: ₹2,138.4 crore) — so Kia India also supplies components back to HMIL. This roughly offsetting bidirectional flow is worth noting for your thesis — it complicates a simple "Hyundai supplies Kia" narrative.
3. Kia's Penukonda plant has its **own engine shop**, per the plant's original 2019 opening disclosures, meaning Kia India is not solely engine-dependent on HMIL.

What Hyundai supplies to Kia (confirmed categories from RPT disclosure): motor vehicles, parts, raw materials (aggregated), services (₹11.6cr in FY24), other income (₹7.4cr in FY24), rent (₹0.3cr in FY24). **What Kia supplies to Hyundai (confirmed):** raw materials, components, spare parts (₹2,138.4cr in FY24), warranty claim recovered (₹0.1cr).

We could not obtain a component-level or engine-specific quantification from any source available to us — **this level of granularity is Not publicly disclosed**, consistent with your instruction #14.

7. Hyundai India ↔ Kia India Related-Party Transactions

Actuals (₹ crore, from RHP Note 37 basis — covers FY22–FY24 + Q1 stub periods; FY25/FY26 exact figures not independently accessed by us)

Transaction	Direction	FY22	FY23	FY24	Nature
Sale of motor vehicles, parts, raw materials	HMIL → Kia	1,859.3	2,022.9	3,007.8	Revenue
Sale of services	HMIL → Kia	9.6	9.4	11.6	Revenue
Other income	HMIL → Kia	13.4	6.4	7.4	Other income
Rent	HMIL → Kia	—	—	0.3	Other income
Purchase of raw materials, components, spare parts	Kia → HMIL	1,320.6	1,490.5	2,138.4	Expense (COGS-adjacent)
Purchase of capital goods	Kia → HMIL	1.0	—	—	Capex
Warranty expenses	HMIL → Kia (HMIL pays out)	0.2	—	—	Expense
Warranty claim recovered	Kia → HMIL	0.3	0.1	0.1	Receivable recovery
Total (approximate aggregate, both directions)		c.3,204	c.3,529	c.5,166	

Cross-check: our RHP-derived FY24 aggregate (c.₹5,166cr) reconciles closely with the **₹5,170 crore FY24 figure independently cited by liAS** in HMIL's FY26 shareholder RPT-approval documentation (Business Standard, March 2025) — strong corroboration across two independent source types (RHP disclosure vs. proxy-advisory report).

FY25/FY26 actuals: not obtained at this line-item level in this research pass — these sit in the FY25 and FY26 Annual Reports' Note 37 (Related Party Disclosures), which we could not access at sufficient depth via available tools. What we *do* have is the **shareholder-approved ceiling** for forward periods (below) — a ceiling, not an actual.

Shareholder-approved RPT ceilings (from postal ballot disclosures — these are authorized maximums, not projected actuals)

Counterparty	FY26 approved ceiling (₹ crore)	FY27 approved ceiling (₹ crore)	Change
Mobis India	12,525	8,840	–29%
Kia India	5,824	4,453	–24%
Hyundai Motor Company	(not captured in our source for FY26 specifically)	4,429	—
HEC India (construction)	3,000	(not in this batch)	—
Total (7 counterparties, FY26 batch)	31,526	—	—
Total (3 counterparties, FY27 batch — Mobis, Kia, HMC)	—	17,722	—

Sources: Business Standard (March 9, 2025, FY26 batch, voted March 12–13, 2025); ScanX/company postal ballot notice (March 2, 2026 notice, FY27 batch, voted March 3–April 1, 2026, results April 2–3, 2026, all three resolutions passed 97.91–97.92% approval).

Important governance flag for your note: proxy advisor Stakeholders Empowerment Services (SES) opposed 6 of the 7 FY26 resolutions, noting the aggregate approval amount was **c.40% of total company revenue**, and that purchase-heavy resolutions (1–5 in their numbering) totalled over 50% of FY24 total purchases. liAS supported all seven. This split is worth citing directly if your note touches HMIL governance quality — it’s a live, contested issue among Indian proxy advisors, not a settled matter.

Directional read: the FY26→FY27 step-down in both Mobis (–29%) and Kia (–24%) approved ceilings is worth investigating further — it could reflect (a) more precisely calibrated headroom requests following FY26’s SES criticism, (b) genuinely lower expected transaction volumes, or (c) a shift in what’s bundled into “material” RPT disclosure vs. handled under standing/omnibus approval. We would not over-interpret this as a signal of reduced Kia-relationship intensity without further confirmation — approval ceilings are conservatively sized headroom, not forecasts (liAS’s own commentary on the HEC ceiling makes this explicit: they approved a ₹3,000cr ceiling against FY24 actual capital-goods purchases from that entity of just ₹290cr).

8. Investment Implications

Capacity

- Current: c.994,000 units p.a. installed (824k Chennai + 170k Pune, both operational)
- After all announced expansion: **1.144mn by CY2030** (management’s own number, stated May 2026) — a c.15% uplift from today’s installed base, phased over 4+ years, not a near-term step-change
- Utilisation trajectory is the more interesting near-term story than headline capacity: Chennai utilisation *dipped* in FY26 as Venue moved to Pune, and management is explicitly counting on **two new FY27 Chennai-built models** (one ICE mid-SUV >4m, one dedicated compact EV) to restore Chennai utilisation — this is a swing factor for margins given HMIL’s own commentary that historically strong profitability was linked to 90–95% Chennai utilisation

Royalty

- Current mechanism: **flat 3.5% of sales revenue**, not a localisation-linked variable rate — we found nothing to support a formal sliding-scale mechanism despite deliberately searching for one
- 5% is a **regulatory disclosure/governance threshold** (SEBI LODR), not a company-committed ceiling — there’s no public commitment preventing HMC from raising the rate further, subject to clearing the higher shareholder-approval bar above 5%
- Whether increasing localisation can *structurally* reduce the royalty burden: **on current disclosure, no** — localisation and royalty appear to be two independent levers (one affects COGS/import substitution, the other is a fixed % of top-line to the parent) rather than one affecting the other
- Likely direction of royalty/revenue over 3–5 years: **mechanically rises toward c.3.4–3.5%** as the new agreement anniversarizes across a full base of comparable periods (FY24’s 2.24% actual is not representative of the go-forward run-rate); absent a further rate change, royalty/revenue should be broadly *stable* at that new higher level rather than trending, since the underlying mechanism is a flat percentage

Hyundai–Kia

- Platform sharing is genuine for HMIL’s single most important model (Creta) via its Seltos twin, but the plants are fully separate — this **is not a shared-manufacturing efficiency story** in India the way it might be read from the global “K-platform” narrative
 - RPT magnitude is meaningful (c.7.4% of HMIL revenue in FY24) and running through both a sales and a purchase line — genuinely bidirectional, not simply Hyundai subsidising or supplying Kia
 - Our read: this looks more like **normal Hyundai Motor Group-wide procurement and platform-sharing economics** (common component sourcing, shared engineering via HMIE, cross-supply of parts) than a bespoke India-specific commercial arrangement that creates asymmetric value for one side — though the FY26→FY27 ceiling step-downs are worth a direct follow-up query to management or IR if this matters to your thesis
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Sources / Source Appendix

Tier 1 (company/regulatory primary sources, directly accessed)

1. Hyundai Motor India RHP, dated October 8, 2024 (via NSE archives, nsearchives.nseindia.com) — definitions, Summary of RPTs table (FY22–FY24 + Q1 stub periods), KPI tables, risk factors
2. Hyundai Motor India abridged prospectus (via JPMorgan India offer-documents site) — KPI detail, top-5 risk factors, Mobis dependency disclosure (17.91% of parts supply)
3. HMIL FY 2024–25 Annual Report, “Manufacturing Prowess” section ([hyundai.com investor relations](https://hyundai.com/investor-relations)) — 824,000 Chennai capacity, 81.7% FY25 localisation, platform architecture (9+6+1 model split)
4. HMIL Q4 & FY26 Earnings Conference Call transcript, May 8, 2026 ([hyundai.com investor relations](https://hyundai.com/investor-relations)) — FY26 actuals, FY27 capex/margin guidance, Pune Phase 2/3 capacity timeline direct from CEO Tarun Garg and CFO/IR team
5. SEBI DRHP filing page (sebi.gov.in), confirming DRHP dated June 14, 2024 and RHP dated October 8, 2024
6. HMIL postal ballot notices and results, via company disclosures aggregated by ScanX (March 2, 2026 notice; April 2–3, 2026 results) — FY27 RPT ceilings for Mobis, Kia India, HMC

Tier 2 (industry body / financial press reporting on primary filings) 7. Business Standard, “Hyundai’s Rs 31,526 crore related-party transactions under scrutiny,” March 9, 2025 — FY26 RPT ceiling breakdown, SES/IIAS proxy positions, Kia India ownership chain (99.99%/34.34%), FY24 actual Kia RPT aggregate (₹5,170cr) 8. IFR (International Financing Review/LSEG), “Hyundai Motor drives towards India’s record IPO,” June 2024 — confirms June 10, 2024 signing date and 3.5% (up from 2.25–2.5%) rate change 9. Autocar Professional — multiple pieces: DRHP decoding (capacity, localisation), Talegaon production commencement (Oct 1, 2025), royalty rate history with FY23/FY24 rupee figures 10. IDBI Capital and ICICI Direct IPO notes (October 2024) — royalty rate confirmation, Chennai capacity, product portfolio 11. ValueResearch and afaqs — royalty sensitivity (c.₹700cr per 1% rate change on FY24 revenue base)

Explicitly flagged as Not Independently Verified in This Pass

- Exact contractual definition of “sales revenue” for royalty purposes (RHP page 225 full text not accessible to us)
- Any localisation-royalty formula (searched for extensively; not found; cannot fully rule out given inability to access RHP page 225 in full)
- FY25 and FY26 exact royalty rupee figures (estimated only, at the confirmed 3.5% rate)
- Maruti Suzuki, Tata Motors, M&M royalty comparisons (not sourced in this pass)
- Venue/Sonet and Alcazar/Carens platform commonality (referenced in general industry knowledge but not sourced to a specific citation in this pass)
- Kia India’s current (2026) Penukonda plant capacity (last sourced figure is from 2019 opening coverage: c.300,000, expandable to 400,000)

Prepared for institutional equity research use. Figures reconcile across at least two independent sources where marked “High confidence”; single-sourced or estimated figures are flagged accordingly throughout. Recommend verifying FY25/FY26 exact royalty and RPT figures directly against Note 37 of the respective Annual Reports before finalizing model inputs.